 Name _____

Walmart: Reading the Real Financial Statements

From Walmart's Form 10-K for the fiscal year ended **January 31, 2025** (some lines combined). Fill in the blanks **A–L**.

Walmart Inc.
Consolidated Statement of Income
(Amounts in millions)

	Fiscal 2025
Net sales	$ 674,538
Membership and other income	6,447
Total revenues	A
Cost of sales	511,753
Operating, selling, general & admin. expenses	139,884
Operating income	B
Interest, net	2,245
Other (gains) and losses	794
Income before income taxes	C
Provision for income taxes	6,152
Consolidated net income	D
Less: attributable to noncontrolling interest	(721)
Net income attributable to Walmart	$ 19,436

Walmart Inc.
Consolidated Balance Sheet
(Amounts in millions)

	Jan 31, 2025
Cash and cash equivalents	$ 9,037
Receivables, net	9,975
Inventories	56,435
Prepaid expenses and other	4,011
Total current assets	E
Property, leases, goodwill and other	181,365
Total assets	F
Accounts payable	$ 58,666
Accrued and other current liabilities	37,918
Total current liabilities	G
Long-term debt, leases and other	66,818
Common stock and paid-in capital	6,305
Retained earnings	98,313
Other equity, net	(7,197)
Total equity	H
Total liabilities and equity	$ 260,823

HOW THE ACCOUNTS CONNECT

1. **Gross profit** = Net sales − Cost of sales I _____ **Gross margin %** = Gross profit ÷ Net sales J _____

2. **Purchases.** Inventories were 54,892 a year earlier. Beginning inventory + Purchases − Cost of sales = Ending inventory. How much inventory did Walmart buy this year? K _____

3. **Retained earnings** were 89,814 a year earlier. By how much did they increase? L _____
   Walmart earned 19,436, so why is the increase smaller?

   _____

4. **Accounts payable** (58,666) is larger than **inventories** (56,435). What does that tell you?

   _____

Source: Walmart Inc. Form 10-K, fiscal year ended January 31, 2025 (SEC EDGAR). Combined lines: "Other equity, net" = accumulated other comprehensive loss (13,605) + noncontrolling interest 6,408; "Long-term debt, leases and other" includes a $271M redeemable noncontrolling interest.